Godrej Consumer Products Ltd

Concall tracker · filed under Q2-2027 · 11 Nov 2026

1. Snapshot

Godrej Consumer Products sells household and personal care products: household insecticides (HI), air fresheners, Godrej Fab and Ezee detergents, soaps, Cinthol body wash, Muuchstac face wash, hair colour and deodorants, in India, Indonesia and Africa (GUAM: Godrej Africa, USA and Middle East).

- Market cap about Rs 89,864 cr at a P/E of about 57: priced as a quality FMCG name.
- Q2 FY27 consolidated revenue up 19% (15% in constant currency) with underlying volume growth of 8%: second straight quarter of high-teens growth.
- Q2 FY27 EBITDA up 12% and net profit up 14% to Rs 523 cr: profit grew slower than sales on input cost inflation.
- India standalone sales up 13% with 7% volume growth, despite about 1.5 points lost to cutting trade inventory.
- Indonesia sales up 20% (volume 8%); GUAM sales up 40% in rupees (23% in constant currency), EBITDA up 43%.
- Operating margin about 19% vs about 20% a year ago (Screener).

2. Concall coverage

Screener lists 47 calls but has transcripts for 23; two in-period calls (Aug 2024 and Oct 2024) have no transcript anywhere we could reach, so this report reads the six calls from Q3 FY25 (Jan 2025) to Q2 FY27 (29 Oct 2026), with the latest read in full. The CEO change is taken from the company's August 2026 announcement as reported in the press.

Quarter / call	Date	Transcript read?
Q3 FY25	Jan 2025	Yes
Q1 FY26	7 Aug 2025	Yes
Q2 FY26	Nov 2025	Yes
Q3 FY26	Jan 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	Aug 2026	Yes
Q2 FY27	29 Oct 2026	Yes, read in full

2b. Latest concall highlights: Q2 FY27 (29 Oct 2026)

- Revenue up 19% with 8% underlying volume growth; EBITDA up 12%; net profit up 14%. Home care up 19% in value, personal care up 8%.
- First quarter under new MD and CEO Aasif Malbari. A search for an India CEO is under way.
- Input cost inflation (crude-linked materials, palm oil) among the highest in many years, a high single-digit hit. More price rises coming in soaps and liquid detergents, whose margins are still below normal.
- FY27 guidance held: high single-digit underlying volume growth in India and double-digit consolidated revenue and EBITDA growth. Q3 commodity costs seen slightly higher than Q2.
- New launches: Godrej Rizz (West and South India), Godrej Zap stain remover online; Godrej Spic toilet cleaner now national.

2c. Business mix & capacity

- Geography: India standalone plus Indonesia and GUAM (Africa, USA, Middle East); exact split not given on the call.
- Capacity: some long-running GUAM businesses are at capacity levels that constrain growth; expansions due 'in the next few months'.

3. Earning trigger thesis

Growth is back across all three regions, and it's volume-led, not just price. Africa (GUAM) is the standout, with seven straight quarters of double-digit sales growth and eleven of double-digit profit growth, which management calls structural. India is growing on home care (air fresheners, Fab detergent liquids, insecticide share gains). The squeeze is input costs, so profit grows slower than sales, and the top job just changed hands.

Trigger	What management said	Evidence so far	Time horizon	Strength
GUAM (Africa) turnaround	Structural, volume-led outperformance 'for a while'	Sales up 23% constant currency, EBITDA up 43%; 11 quarters of double-digit profit growth	Now	Strong
India home care	Fab, Spic, air fresheners, HI share gains	Home care up 19%	Now	Moderate
Indonesia	New growth flywheels	Sales up 20%, partly weather (El Nino) helped	FY27	Moderate: part one-off

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed
New business	Yes	Launched Godrej Zap, 'our entry into stain removers online'; Godrej Spic toilet cleaner taken national (29 Oct 2026)
Margin up	No	EBITDA grew 12% vs revenue 19% on inflation
New management	Yes	Sudhir Sitapati resigned effective 11 Aug 2026; CFO Aasif Malbari appointed MD and CEO; Vishal Kedia interim CFO (company announcement, Aug 2026)
New capacity	Yes	GUAM capacity expansions 'happening in the next few months' (29 Oct 2026)
Big orders	No	Consumer business
Turnaround	Yes	GUAM: '7 consecutive quarters of double-digit top line growth and 11 consecutive quarters of double-digit bottom line growth' (29 Oct 2026)
Promoter buying	No	Not said

Single concrete driver: Volume-led growth across India, Indonesia and especially Africa, where the business has delivered seven straight quarters of double-digit sales growth.

3c. Margin bridge

Consolidated EBITDA grew 12% against 19% revenue growth, so margin slipped. Crude-linked inputs and palm oil drove one of the sharpest cost rises in years; price rises, a cost-savings programme and leaner media spend covered part of it. Management is pricing for EBITDA growth rather than margin percentage. (one-off)

3d. Management changes

Sudhir Sitapati resigned as MD and CEO effective 11 August 2026, days after shareholders approved his reappointment; the company gave no reason in its filing. Aasif Malbari, previously Global CFO and President, was appointed MD and CEO for five years, and Vishal Kedia became interim CFO. On his first results call Malbari kept the FY27 guidance, flagged sharper digital advertising, tighter trade inventory and the hunt for an India CEO as early priorities.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q1 FY26 call (Aug 2025)	India margins improve in H2 FY26	Q3 FY26 EBITDA margin back to 24.8%, 'normative levels'	Delivered
Q1 FY26 call	150-200 bps of A&P savings	On track (Aug 2025); ad spend lower in later quarters	Delivered
Q2 FY26 call (Nov 2025)	Last weak margin quarter; normal margins in H2 FY26	Margins normal in Q3 FY26	Delivered
FY27 guidance (May/ Aug 2026)	High single-digit India volume growth, double-digit consol revenue and EBITDA growth	Q2: India volume 7%, consol revenue 19%, EBITDA 12%	Delivered (so far)

The operating story has been steady and promises have been kept. The jolt is the CEO's sudden exit right after reappointment. The new CEO comes from inside (the CFO) and kept the guidance, but he's already changing ways of working, so watch for strategy shifts.

5. Bottom line

Durable earning trigger? → YES

Volume-led growth across three regions is showing in the numbers, and Africa's improvement has lasted long enough to look structural. Input inflation is holding back profit for now.

Management consistent? → YES

Margin and growth guidance over the last two years was delivered, and FY27 guidance is being held. The leadership change is a risk to watch, but the promises have been kept so far.

6. Checkpoints for next quarter

- FY27 double-digit consolidated EBITDA growth guidance is held
- A new India CEO is appointed
- Soap and liquid detergent price rises go through without volumes falling

Sources: Screener.in (GODREJCP) concall transcripts Jan 2025 to 29 Oct 2026; press reports of the Aug 2026 CEO change (exchange4media.com, moneylife.in, boardstewardship.com); Screener financial tables. This is not investment advice. Do your own due diligence.